Ultra Sound Money

Ethereum's Supply Dynamics & Monetary Thesis

Current Supply	ETH Price	Current Base Gas
121.6M ETH	**$2,243**	**0.1 Gwei**

ETH Supply Growing at +0.83%/Year

7-Day Snapshot: 192 ETH Burned vs 19,638 ETH Issued

7-Day Supply Change

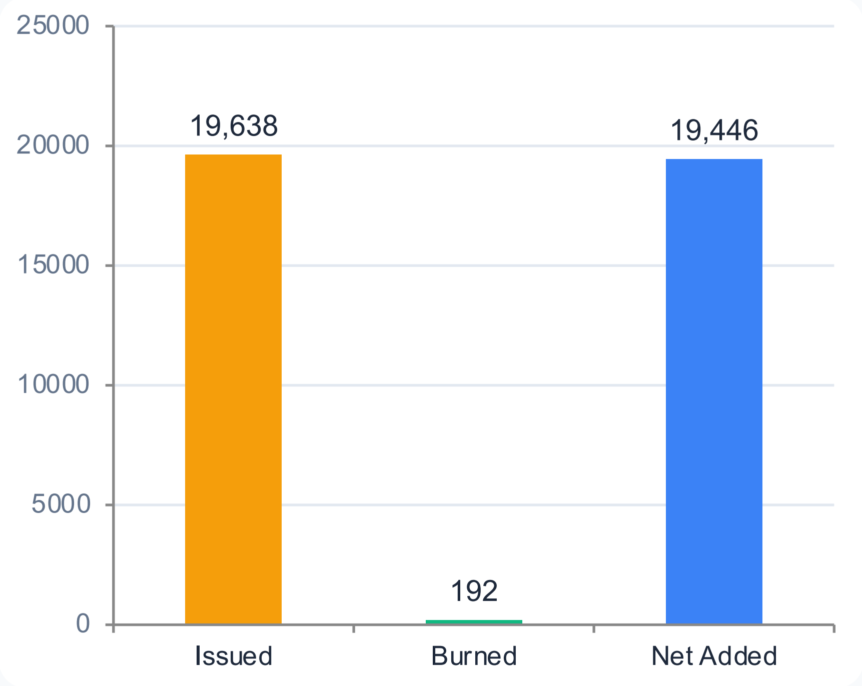
Net Added

+19,445.89 ETH

Current Total Supply

121,603,980 ETH

Burns currently offset only ~1% of new issuance (0.01x ratio).



Base Gas at Historic Lows

0.1 Gwei Average Suppresses Fee Burn Mechanism

Minimum Gas	Average Gas	Maximum Gas
0.0 Gwei	**0.1 Gwei**	**1.3 Gwei**

The Deflationary Disconnect

EIP-1559 Mechanism:

Burn rate is dictated by base gas fees. Current 0.1 Gwei average is far below the **22 Gwei** needed for long-term equilibrium.

L2 Blob Impact (EIP-4844):

Blob gas averaged ~7.1M wei, resulting in only 0.15 ETH ($319) burned from blob fees over the past 7 days.

Conclusion:

Low Gas = Low Burn = Temporary Supply Inflation

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-Day Burn Categories

Category	Burn (ETH)
DeFi	31
ETH transfers	22
Misc	4
NFTs	3
Contract creations	2
L2 / MEV / Blob fees	0

Top Burn Entities

1. ETH Transfers

21.74 ETH

2. Tether (USDT)

13.55 ETH

Recent blocks show burns of just 0.00-0.01 ETH per block.

38.9M ETH Staked

The Scarcity Engine: 32% of Supply Locked

38.9M ETH

Total Staked (32% of Supply)

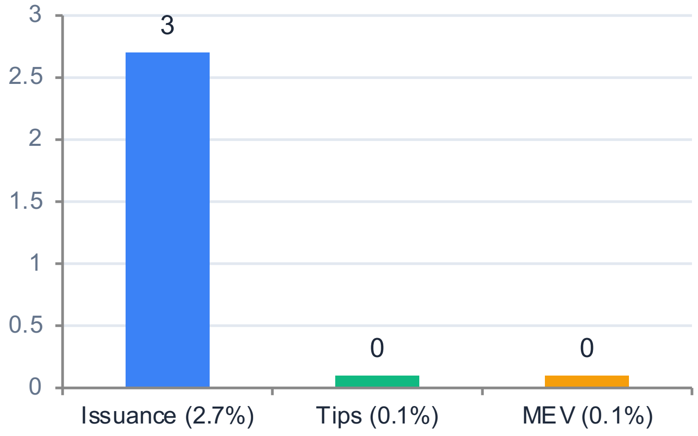
Scarcity Engine

Staking contracts lock 9.1M ETH for an average timespan of 10.7 years.

Daily Mechanics

- PoS Issuance: ~2,800 ETH/day
- Normalized Burn: ~2,200 ETH/day

Validator Rewards Breakdown (APR)



Total APR: ~2.9% (Mainly from protocol issuance)

Long-Term Equilibrium Projected at 125.7M ETH

Balancing Issuance and Burn Over a 200-Year Horizon

Historical eras (Genesis -> Byzantium -> Merge) show dramatic flattening of supply growth.

Equilibrium Parameters

Target Equilibrium:

125.7M ETH

Required Assumptions:

- 39M ETH Staked
- **22 Gwei Avg Base Gas**

Annual Balance:

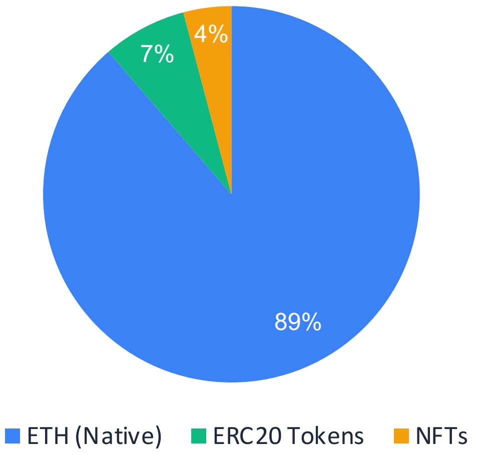
~1,037K ETH/Year (Issuance = Burn)

Flippening Progress & Total Value Secured

ETH Secures Over $307 Billion in Network Value

Total Value Secured (TVS)

$307.6 Billion



Market Cap Relative to Monetary Assets

Asset	ETH Ratio
Bitcoin	**18.70%**
USD	1.30%
Gold	0.89%

Top Secured Assets

ERC20s: Dai ($4.41B), SHIB ($3.51B), Cronos ($2.97B), Tether Gold ($2.65B)
NFTs: CryptoPunks ($2.13B), BAYC ($0.68B), ENS ($0.63B)

Key Takeaways

Ultra Sound Money Thesis Intact, but Gas is the Critical Variable

1. Mildly Inflationary Present

ETH is currently +0.83%/yr inflationary due to historically low gas (0.1 Gwei), with burns offsetting only ~1% of issuance.

2. The Activity Dependency

The burn mechanism works flawlessly, but requires sustained on-chain activity (avg 22 Gwei) to reach deflationary equilibrium.

3. Strong Supply Lock

38.9M ETH (32% of supply) is staked, creating a significant and persistent supply sink.

4. Growing Monetary Premium

Securing $307B+ in TVS and reaching 18.7% of BTC's market cap demonstrates strong, albeit early, structural conviction.